

MAROS SCANNER Strategy Bible

Complete Trading Strategy, Scoring Rules, Auto-Trader Logic & Market
Regime Filters

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1. Trading Philosophy

Maros Scanner is built around one core idea: only take high-conviction setups where multiple independent signals align. A single bullish signal is noise. When RSI, MACD, EMA alignment, VWAP position, relative strength, and momentum all agree — that is a confluence trade worth taking.

The system is designed to keep you OUT of bad trades as much as it helps you get INTO good ones. Every guardrail (earnings block, bear regime block, grade C block) exists because losing less is as important as winning more.

2. Data Sources

Source	What It Provides	Used For
Alpaca Markets	Live prices, order execution, portfolio data	Trading + price feeds
Yahoo Finance	Fundamentals, historical data, screener data	Scanner baseline
TwelveData	RSI, MACD, EMA 8/21, VWAP — real-time technicals	Scoring & regime
Finnhub	Insider transactions (Code P buys), earnings calendar	Insider tab + earnings block
Gemini AI	Frozita AI Coach (gemini-2.5-flash)	Chat coaching

3. Confluence Scoring System

Every stock in the scanner receives a score from 0–100 built from 7 independent technical dimensions. The score determines the grade (A/B/C) which controls whether the auto-trader fires and how much capital it allocates.

3.1 Scoring Components (TwelveData)

Signal	Condition	Points	Direction
VWAP Reclaim	Price crossed above VWAP (gold standard)	+18 pts	BULLISH
Above VWAP	Price currently above VWAP	+10 pts	BULLISH
Below VWAP	Price currently below VWAP	-8 pts	BEARISH
EMA 8 > EMA 21	Short-term trend above long-term	+8 pts	BULLISH
EMA 8 < EMA 21	Short-term trend below long-term	-10 pts	BEARISH
MACD Hist > 0	Momentum accelerating upward	+6 pts	BULLISH
MACD Hist < 0	Momentum decelerating	-6 pts	BEARISH
RSI 50–65	Healthy momentum, not overbought	+8 pts	BULLISH

RSI < 30	Oversold — potential reversal	+12 pts	BULLISH
RSI 65–75	Approaching overbought	-5 pts	CAUTION
RSI > 75	Overbought — avoid chasing	-15 pts	BEARISH
RS vs SPY > 2%	Outperforming the market	+8 pts	BULLISH
RS vs SPY < -2%	Underperforming the market	-8 pts	BEARISH
Earnings within 3 days	Binary event risk	-15 pts + BLOCK	BLOCKED
Bear Regime (SPY)	Market in bear mode	-20 pts + BLOCK	BLOCKED

3.2 Grade Thresholds

Grade	Score	VWAP Condition	Auto-Trade?	Size
A	>= 78	VWAP Reclaim or Above VWAP required	YES	\$1,000
B	>= 62	No VWAP requirement	YES	\$500
C	< 62	Any	BLOCKED	\$0

4. Market Regime Filter

Before any auto-trade fires, the system checks the overall market regime using SPY VWAP and VIXY (VIX proxy ETF). A bearish regime overrides everything — no trades fire regardless of individual stock grades.

Regime	Conditions	Auto-Trader Effect	Score
BULL	SPY above VWAP AND SPY up VIXY <= 25	Normal — trades fire	None
NEUTRAL	Mixed signals	Trades fire with caution	None
BEAR	SPY below VWAP AND (VIXY > 25 OR SPY down > 0.5%)	ALL trades BLOCKED	-20 pts

VIXY > 25 = Elevated market fear. VIXY is the ProShares Short-Term VIX Futures ETF, used as a free proxy for the VIX fear index since the VIX itself is not available on the free TwelveData tier.

5. Auto-Trader Guardrails (In Order of Execution)

1. Master Kill Switch

If auto-trading is disabled in settings, nothing fires. Zero trades.

2. Bear Regime Block

getMarketRegime() runs first. BEAR = all trades blocked for the entire scan cycle. Logged to settings.

3. Session Filter

Only trades during allowed market sessions (configurable: PRE / OPEN / MID / CLOSE / AFTER).

4. Daily Max-Loss Circuit Breaker

If today's realized P&L; is worse than the daily max-loss setting, trading stops for the day.

5. Max Concurrent Positions

Will not open a new auto-trade if maximum concurrent positions are already open.

6. Earnings Block

Any stock with earningsAlert=true (earnings within 3 days via Finnhub) is skipped.

7. Grade Filter

Only A or B grades trade (configurable). C grades are always blocked.

8. Score Threshold

Must meet minimum score setting (default varies).

9. Per-Symbol Cooldown

Default 30-minute cooldown per symbol after a trade fires. Prevents re-entering the same name.

10. Already Open Check

Will not open a second position in a symbol already held.

11. Live Price Verification

Fetches real-time Alpaca price before entry. If price has moved outside entry zone, skips — no chasing.

12. Dynamic Position Sizing

A grade = \$1,000 / live price. B grade = \$500 / live price. Minimum 1 share.

13. Bracket Validation

Verifies stop < entry < target before submitting. Invalid bracket = skip.

14. Order Placement

Attempts market bracket order first. Falls back to limit GTC if market is closed.

6. Order Execution Types

Bracket Order (Recommended / Default): A single Alpaca order with 3 legs — market entry, stop-loss limit, and take-profit limit. Alpaca manages the exit automatically. When T1 (take profit) is hit, the entire position closes and the stop leg is cancelled.

Simple Market Buy (Bracket Toggle OFF): No stop or take-profit attached. You manage the exit manually via Alpaca dashboard or the app's position close button.

Limit GTC (Market Closed Fallback): When the auto-trader fires outside market hours, it places a limit order at the current scan price with GTC (good-till-cancelled). No bracket — you must manage exit if filled.

IMPORTANT: T2 (second target) is currently stored in the database and shown in the UI for reference, but Alpaca only receives T1 as the take-profit leg. The full position closes at T1. Partial exit strategy (50% at T1, 50% at T2 with breakeven stop) is a planned future upgrade.

7. Catalyst Classifier

Every pick is automatically tagged with a catalyst type based on recent news analysis. This tells you WHY a stock is moving — critical context for any trade decision.

Catalyst Tag	What It Means
EARNINGS	Earnings report or guidance — binary event, highest risk
FDA	FDA approval, rejection, or clinical trial result
MERGER	M&A announcement, acquisition, or buyout
UPGRADE	Analyst upgrade or price target raise
INSIDER	Significant insider buying detected
MOMENTUM	Pure technical momentum — no specific news catalyst
MACRO	Broad market / sector move (less useful for individual trades)
N/A	No clear catalyst identified

8. Risk Management Rules

Position Sizing

- A Grade: Maximum \$1,000 per trade (shares = floor(\$1,000 / live price))
- B Grade: Maximum \$500 per trade (shares = floor(\$500 / live price))
- C Grade: Never auto-traded. Reference only.
- Minimum 1 share always (never 0 qty orders)

Stop Loss

Stop loss is set per-pick by the scanner (typically 2-3% below entry). For bracket orders the stop has a 0.5% slippage buffer below the stop price to account for fast markets.

Spread Filter

Stocks with a bid-ask spread greater than \$0.75 OR greater than 2% of price are filtered out of the scanner automatically. Wide spreads make entries expensive and exits slippery.